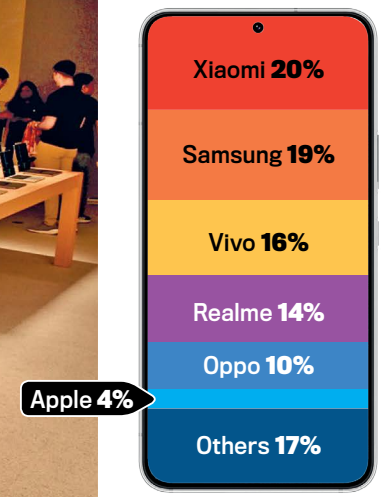
HARDIK CHHABRA



CAPITAL PLAN Apple's store in New Delhi's Saket

How They Stack Up

INDIA SMARTPHONE MARKET SHARE



Data for 2022; source: Counterpoint

years. In the second round, incentives of 3 per cent to 5 per cent were extended on incremental sales of goods manufactured in India to eligible companies for four years. All the three key contractors of Apple in India—Foxconn, Pegatron and Wistron—have been extended the benefits under the PLI scheme, say experts.

News reports also say that as many as 14 Apple suppliers from China have received the initial clearance from the Centre for investment in India. They will need to enter the country by establishing joint ventures with local companies. Apple has not been able to make all variants of its various iPhone models in India so far. It was only last year that its contractors started assembling the iPhone 14 in the country.

According to media reports, Foxconn and Wistron Corp have each shipped iPhones worth more than $1 billion abroad in the first nine months of the fiscal year, while Pegatron is bracing up to export gadgets valued at around $500 million. All three contractors have their manufacturing units in Tamil Nadu. Foxconn is in the process of setting up a new plant in Bengaluru.

There are also claims of these manufacturing units being big job providers. It is estimated that ever since the PLI scheme went into effect in August 2021, the three contract firms and other component suppliers (including Tata Electronics, part of the Tata Group, which has a plant in Hosur that makes iPhone components), have together provided direct employment to some 50,000 people as well as indirect employment for another 100,000. What is being cited as advantageous to these firms is the PLI scheme and the abundance of low-cost labour in India. There have been media reports that Wistron is planning to exit India, selling their unit to Tata Electronics, but this news could not be confirmed.

CHALLENGES AHEAD

Experts are of the view that achieving economies of scale in India will be a challenge in the short term since the number of electronics parts suppliers from China that have a presence in India to support Apple's major contract manufacturers is still small. A Bloomberg Intelligence estimate says that it will take about eight years for Apple to move out just 10 per cent of its production capacity from China. "Decoupling from China will be extremely hard, especially for Apple, which is so dependent on that country," says IDC's Singh. "China has about 3.5 lakh ISO 9001 organisations. India has no more than 30,000. When you move the ecosystem of suppliers at the quality, the accuracy and the standards that Apple requires, it is going to be extremely difficult."

He is of the view that just as Apple needs India, India too needs Apple. "Apple is a marquee brand and investor, and the world sits up and notices if it makes investments here. It opens the door to other organisations," he says. The plan to develop the ecosystem for electronics, as China had done, has to be long-term. Any supplier of Apple would like to see how sustainable it will be to make in India before it makes commitments in the country.

Cook's visit has underlined the importance of India in Apple's scheme of things. It may take years for Apple to move any significant part of its global supply chain to India, but the country can take heart from the fact that the journey towards that goal has begun. ■